

KEY TERMINOLOGY

ECONOMY



MODULE - 21

- GDP
- GNP
- NDP
- NNP

- GDP at Constant Prices
- GDP at Current Prices
- GDP Deflator & CPI
- GDP Data & 8 Sectors

KEY TERMINOLOGY IN ECONOMY



KEY TERMINOLOGY IN ECONOMY



Learning Space

1

GROSS DOMESTIC PRODUCT

GROSS DOMESTIC PRODUCT

- It is one of the many indicators of standard of living in a country.
- GDP is regardless of ownership
- Here final value of goods and services produced are taken
- Production is within the country's boundaries.

GROSS DOMESTIC PRODUCT

The total value of final goods and services produced within a country's borders in a year regardless of ownership.

1

PRIMARY



2

SECONDARY



3

TERTIARY



2

GROSS NATIONAL PRODUCT

GROSS NATIONAL PRODUCT

- $GNP = GDP + \text{Income from the goods and services produced abroad by the nationals} - \text{income from the goods and services produced domestically by the foreign nationals.}$

GROSS NATIONAL PRODUCT

Total value of goods and services produced in a country + net factor income from abroad.

$GNP = GDP +$



-

Coca-Cola



KEY TERMINOLOGY IN ECONOMY

2

GROSS NATIONAL PRODUCT

(-)



GROSS NATIONAL PRODUCT

Total value of goods and services produced in a country + Net Factor Income from Abroad (NFIA)



(+) JAGUAR



KEY TERMINOLOGY IN ECONOMY

2

GROSS NATIONAL PRODUCT



-



+



JAGUAR



AIRTEL AFRICA

↓
Subtract this factor
income

↓
GDP

↓
Add this factor
income

3

NET DOMESTIC PRODUCT

DEPRECIATION

- The monetary value of an asset decreases over time due to use, wear and tear
- The depreciable elements can be
 - Machinery
 - Equipment



NET DOMESTIC PRODUCT

Net Domestic Product = GDP – Depreciation of Assets

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DEPRECIATION

Depreciation is an accounting method of allocating the cost of a tangible asset over its useful life.

4

NET NATIONAL PRODUCT



Year 2015
Rs. 10,00,000



Year 2016
Rs. 8,00,000



Year 2017
Rs. 6,40,000

Depreciation is 20% every year
(This assumption is only for
understanding sake)

NET NATIONAL PRODUCT

Net National Product = Gross National Product - Depreciation

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GDP AT CONSTANT PRICES & CURRENT PRICES

2015 - 16



PRODUCTION - 10 PACKS
EACH COST - Rs. 10

TOTAL GDP ... Rs. 100

2016 - 17



PRODUCTION - 11 PACKS
EACH COST - Rs. 11

TOTAL GDP ... Rs. 121

REAL GDP - RS. 110 (10%)

NOMINAL GDP - RS. 121 (21%)



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GDP AT CONSTANT PRICES

1

**REAL GDP = GDP MEASURED AT CONSTANT PRICES
(AT PRESENT, BASE IS 2011-12)**



In this example, real GDP growth
i.e. GDP at constant prices has
grown by 10%

**REAL GDP = GDP AT
CONSTANT PRICES**

2015-16	2016-17
10 Packs	11 Packs
Each pack Rs. 10	Each pack Rs. 11 10
Total value Rs. 100	Total value Rs. 110

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GDP AT CURRENT PRICES

2

NOMINAL GDP = GDP MEASURED AT CURRENT PRICES



In this example, nominal GDP growth i.e. GDP at current prices is 21%

NOMINAL GDP = GDP AT CURRENT PRICES

2015-16	2016-17
10 Packs	11 Packs
Each pack Rs. 10	Each pack Rs. 11 ✓
Total value Rs. 100	Total value Rs. 121

$$\text{GDP DEFLATOR} = \frac{\text{NOMINAL GDP}}{\text{REAL GDP}} \times 100$$

KEY TERMINOLOGY IN ECONOMY

GDP DEFLATOR

Value of goods and services produced in a particular
year at current prices

$$\text{GDP DEFLATOR} = \frac{\text{Value of goods and services produced in a particular year at current prices}}{\text{Value of goods and services pertaining to base year}} \times 100$$

- This is to learn about to what extent an increase in GDP is on account of increase in prices.
- Real GDP is the nominal GDP adjusted for inflation.





DIFFERENCE BETWEEN GDP DEFLATOR AND CPI

GDP DEFLATOR

- Takes into account all the goods and services produced in the country.
- Does not include the prices of imported goods.
- Weights differ according to the production level of each good.

CPI

- It takes into account goods consumed by the representative consumer.
- Includes the prices of imported goods.
- Weights are constant in CPI.

KEY TERMINOLOGY IN ECONOMY

Central Statistics Office (CSO)

GDP DATA & 8 SECTORS



Government of India
Ministry of Statistics and
Programme Implementation

1 Agriculture, forestry & fishing



- It involves agriculture and allied sectors
- Normally, the GVA estimates are compiled using advanced estimates of production of food grains along with other data

2 Mining and quarrying



- It is compiled by looking at IIP of mining sector
- Private corporate sector growth in the mining is assessed from major listed companies

3 Manufacturing



- Private corporate sector growth (which has a share of 70%) in the manufacturing sector is assessed based on the data of listed companies with BSE and NSE.
- Quasi corporate and unorganized segment is estimated using IIP of manufacturing

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GDP DATA & 8 SECTORS



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4 Electricity, gas, water supply and other utility services



- IIP of electricity is one of the index looked at before arriving at the final figure

5 Construction



- Key indicators of construction such as production of cement, consumption of finished steel are taken

6 Trade, hotels, transport, communication and services related to broadcasting



- Sales tax growth is the main indicator for GVA from trade sector
- Private corporate growth is taken for hotels and restaurant sector
- Cargo handled at major sea ports, Net Tonne Kilometers and Passenger Kilometers of railways are the indicators

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Government of India
Ministry of Statistics and
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7

Financial, insurance,
real estate and
professional services



- Real estate and professional services have got the highest share of 71%.
- The growth of corporate sector for the computer related activities is estimated from the available data from listed companies
- Banking sector is looked at by aggregate bank deposits and bank credit

8

Public administration,
defence & other
services



- The key indicator of this sector is Union Government revenue expenditure net of interest payments

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